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STEP-BY-STEP TRADE PLANNING

USING TECHNICAL ANALYSIS



OBJECTIVE: To help students understand and implement a structured trading strategy by identifying trends, selecting entry points, placing stop-loss/take-profit levels, and actively managing trades.

- **COMPANY STUDIED: ZOMATO LIMITED**



Zomato is an Indian multinational restaurant aggregator and food delivery company. It was founded by Deepinder Goyal and Pankaj Chaddah in 2008. Zomato provides information, menus and user-reviews of restaurants as well as food delivery options from partner restaurants in more than 1,000 Indian cities and towns, as of 2022–23.

Zomato IPO bidding started from July 14, 2021 and ended on July 16, 2021. The allotment for Zomato IPO was finalized on Thursday, July 22, 2021. The shares got listed on BSE, NSE on July 23, 2021.

- [Zomato](#) made a stellar debut on July 23 as the stock opened at Rs 116 on the NSE, a 52.63 percent premium to its final offer price of Rs 76. The listing price on the Bombay Stock Exchange was at Rs 115, up 51.32 percent.
- The stock closed at Rs 125.85 on BSE, up 65.59 percent with respect to the issue price, while on NSE, the stock closed at Rs 125.30, up 64.87 percent against the stock's issue price of Rs 76.

<u>Traded as</u>	• BSE: 543320 • NSE: ZOMATO • BSE SENSEX constituent
<u>ISIN</u>	INE758T01015
<u>Industry</u>	Online food ordering Q-commerce
<u>Founded</u>	10 July 2008; 16 years ago
<u>Founders</u>	• Deepinder Goyal • Pankaj Chaddah
<u>Headquarters</u>	Gurgaon, Haryana, India
<u>Area served</u>	India

TECHNICAL ANALYSIS

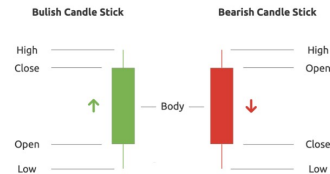
Technical analysis can be defined as an art and science of forecasting future prices based on an examination of the past price movements. Technical analysis is not astrology for predicting prices. Technical analysis is based on analysing current demand-supply of commodities, stocks, indices, futures or any tradable instrument.

CANDLESTICK ANALYSIS

Candlestick analysis is a popular method in technical analysis used by traders and investors to predict price movements in financial markets

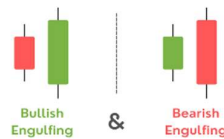
TYPES OF CANDLESTICKS

- **Bullish Candlestick:** Indicates price increase (closing price is higher than the opening price). Usually green or white.
- **Bearish Candlestick:** Indicates price decrease (closing price is lower than the opening price). Usually red or black.

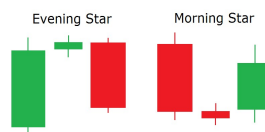


CANDLESTICK PATTERNS:

- **Bullish Engulfing:** A strong bullish reversal pattern where a larger green candle completely engulfs the previous red candle.
- **Bearish Engulfing:** A strong bearish reversal pattern where a larger red candle engulfs the previous green candle.



- **Morning Star:** A bullish reversal pattern consisting of a bearish candle, a small indecisive candle, and a bullish candle.
- **Evening Star:** A bearish reversal pattern that signals a potential downward trend.





- **6th Feb,2023 at rupees 53.04 - BUY signal**
- **MORNING STAR** candle pattern spotted

RELATIVE STRENGTH INDEX ANALYSIS

The RSI was developed by **J. Welles Wilder Jr.** and is widely used in stock, forex, and cryptocurrency markets.

Formula for RSI Calculation

$$RSI = 100 - [100 / (1 + RS)]$$

- **RS (Relative Strength)** = Average gain over a period / Average loss over a period
- The default period for RSI calculation is **14 days**.
- **RSI CHART:** LOWER DOTTED LINE LEVEL IS 30, MIDDLE DOTTED LINE LEVEL IS 50, UPPER DOTTED LINE LEVEL IS 70
- **RSI above 70 indicates overbought conditions (possible trend reversal down)**
- **RSI below 30 indicates oversold conditions (possible trend reversal up)**

MOVING AVERAGE CONVERGENCE DIVERGENCE

- The MACD line is calculated by subtracting the 26 day-period exponential moving average (EMA) from the 12 day-period EMA.
- The Signal line is a 9 day-period EMA of the MACD line.
- MACD histogram is a visual representation of the difference between the Moving Average Convergence/Divergence (MACD) line and its signal line.
- The Zero line is the point on the histogram where momentum is zero.
- Blue line: MACD line
- Orange line: Signal line

MACD CROSSOVER ANALYSIS

- Whenever MACD falls below the signal line after crossing it from above, it is a bearish signal indicating that it may be time to **SELL**
- Conversely, when MACD rises above the signal line after crossing it from below, the signal is bullish, suggesting that the asset's price might experience upward momentum, indicating **BUY** signal.



- **27th March, 2023 at rupees 52.78 – BUY signal**
- **MACD** rises above the signal line after crossing it from below, the signal is bullish, indicating **BUY** signal.
- **RSI** at 41.92 indicates neutrality

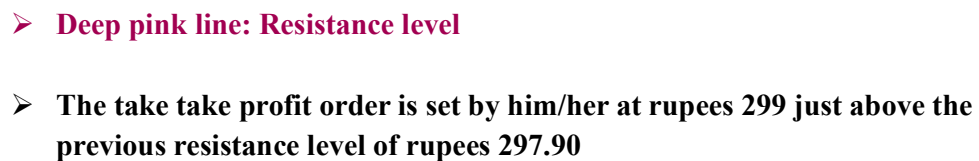
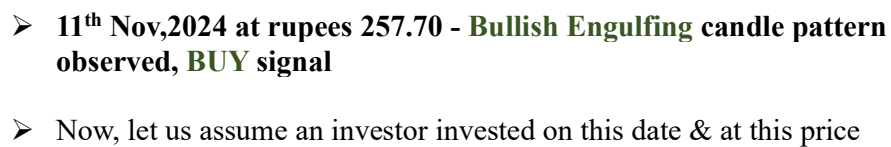


- **14th Oct, 2024 at rupees 276.15 – SELL signal**
- **MACD falls below the signal line after crossing it from above, it is a bearish signal indicating SELL signal**
- **RSI at 60.09 (indicates neutral condition) after consecutively reaching above the 70 mark (indicates overbought condition, potential start of downtrend) -SELL signal**

STOP-LOSS AND TAKE-PROFIT

Stop loss and take profit are essential trading tools used to manage risk and secure profits.

- **Stop Loss**: A stop-loss order is a predetermined price level set below the current market price, at which a trader's position will be automatically closed to limit potential losses.
- **Take Profit**: A take-profit order is a preset price level at which a trader will close a profitable position, securing gains once the price reaches this level.
- **Purpose**: Both orders help traders manage their trades effectively by minimizing losses and locking in profits, thus preventing emotional decision-making during volatile market conditions.
- **Execution**: When the market price hits the stop-loss level, the order is executed to sell the asset, while the take-profit order executes when the price reaches the desired profit level.





➤ **Blue line: Support level**

➤ **The stop loss order is set by him/her at rupees 239 just below the previous support level of rupees 240.06**

- **RISK**: $258 \text{ (approx.)} - 239 = 19$
- **REWARD**: $299 - 258 = 41$

➤ **RISK-REWARD RATIO = $19:41 = 1:2.16$ (approx.)**

CONCLUSION

This project provided a structured approach to trade planning using technical analysis, with a focus on Zomato Limited. By leveraging key technical indicators such as candlestick patterns, RSI divergence, and MACD crossovers, we identified optimal entry and exit points for trades.

The study highlighted the importance of stop-loss and take-profit strategies in managing risk and securing profits. The application of these tools demonstrated how traders can make informed decisions based on market trends rather than emotions.

Using multiple technical indicators together provides a more comprehensive and reliable trading strategy for the following reasons:

- **Improved Accuracy** – No single indicator is foolproof. Combining indicators reduces false signals and improves the accuracy of buy/sell decisions.

- **Confirmation of Signals** – When multiple indicators align (e.g., RSI shows oversold conditions while MACD gives a bullish crossover), it increases confidence in the trade.
- **Different Perspectives** – Various indicators measure different market aspects:
 - RSI checks momentum and overbought/oversold conditions.
 - MACD analyses trend strength and direction.
- **Minimizing False Signals** – One indicator might give a misleading signal, but another can validate or contradict it, helping traders avoid poor trades.
- **Better Risk Management** – Combining indicators helps traders define clearer stop-loss and take-profit levels, optimizing risk-reward ratios.
- **Adaptability to Market Conditions** – Markets can be volatile, trending, or ranging. Using different indicators allows traders to adjust strategies accordingly.

REFERENCES:

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